



Real Madrid

Management Report & Financial Statements 2024-2025



OPERATING
INCOME

(before disposal of non-current assets)

Operating income (before disposal of non-current assets) in FY 2024/2025 amounted to €1,185 million, up €111 million (or 10.4%) from FY 2023/2024, when the Club surpassed the €1 billion mark in operating income before disposal of non-current assets for the first time ever, something no other football club has yet to achieve.

All business lines recorded growth, except for broadcasting. This was because UEFA market pool revenue was no longer recognized as a result the new income distribution system and because the revenue received from La Liga in 2024/2025 was slightly lower than in 2023/2024. A key highlight was growth in competition, market and stadium revenue. In competitions and friendlies, revenue from the first part of the FIFA Club World Cup offset the decrease in Champions League revenue—Real Madrid won the title the year before—while there was also an increase in income from friendlies and Spain’s King’s Cup final. Regarding commercial activity, in 2024/2025, the Club boosted both merchandising and sponsorship activities, in the latter by signing new, major sponsorship deals. Turning to the stadium, FY 2024/2025 was the first year of operations without restrictions on availability caused by the works. It was also the first with a high level of operation of the various recurring revenue streams related to seating capacity and commercial operations. As a result, revenue rose sharply. Nevertheless, some business lines—especially catering and concert promotion—are still not at full operational capacity. Elsewhere, while marketing of “personal seat licenses” continued in FY

2024/2025, revenue from this product was lower than the year before as fewer seats were up for sale. Excluding these licenses, revenue from recurring capacity and commercial operations in FY 2024/2025 was 38% higher than the previous year.

This item includes revenue from the various business lines (stadium, international and friendly matches, broadcasting, and marketing) and from other operating activities, but excludes revenue from player transfers, which is recognized in the income statement under “Gains/(losses) on disposal of non-current assets”.

Club membership fees and season tickets in 2024/2025 accounted for 5.5% of total revenue (2023/2024: 5.6%). It represented 16.5% in 2000, 9.7% in 2009 and 7.2% in 2018/2019, before COVID-19 and the start of the project.

In the 2000-2019 period, before the pandemic, revenue grew at an average annual rate of 10.3%. Because of the pandemic and the lost revenue caused by the situation in 2019/2020, 2020/2021 and 2021/2022, the pace of average annual growth in 2000-2022 declined to 8.6%. After revenue growth in 2022/2023, 2023/2024 and 2024/2025, average annual growth in 2000-2025 was 9.7%.

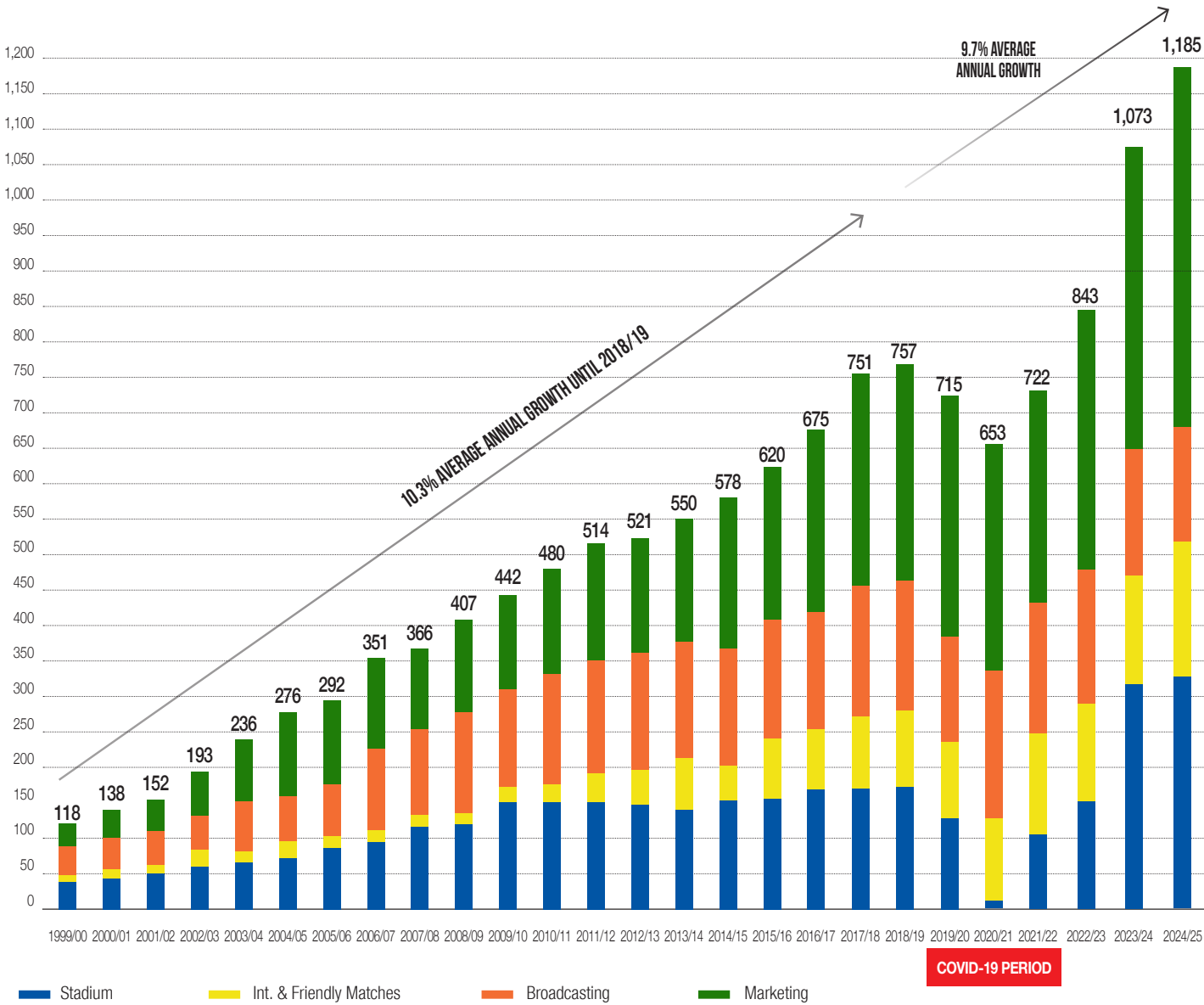
Going forward, promoting the Club’s brand through investment in top players and international expansion are still the principal ways in which the Club can remain competitive and maintain its status as a global benchmark in football.



9,7% CRECIMIENTO
ANUAL MEDIO

OPERATING INCOME
(BEFORE DISPOSAL OF NON-CURRENT ASSETS)

€ MILLION



BREAKDOWN OF OPERATING INCOME

(before disposal of non-current assets)

The Club enjoys a balanced revenue mix, barring the atypical situation in previous years affected by COVID-19 and the temporary effects of the remodeling work.

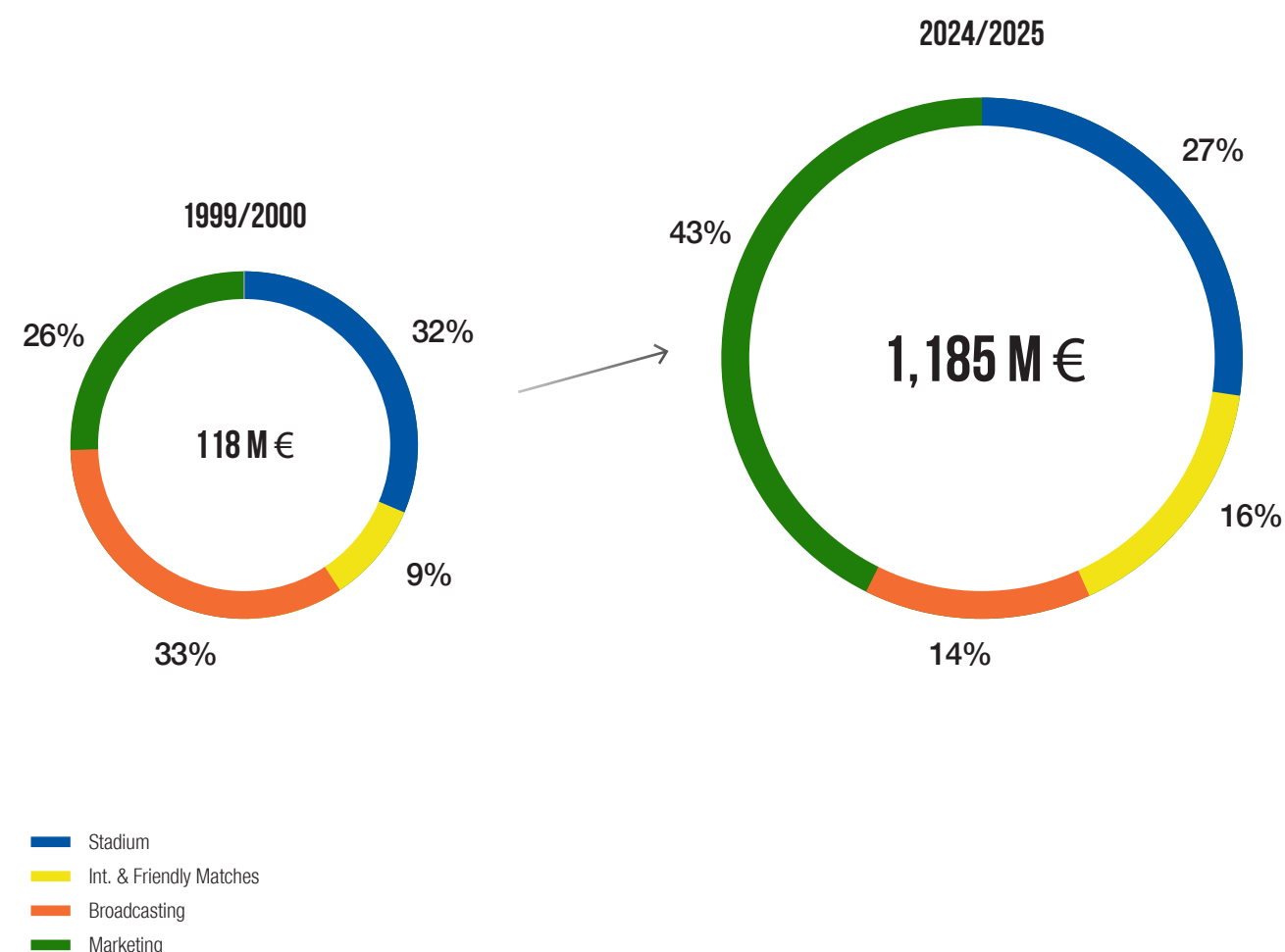
The three largest lines (stadium, television/competitions and marketing) make up around a third of total revenue, although the weight of TV revenue in the mix (La Liga and Champions League) has decreased gradually, while the

weight of marketing revenue has increased along with stadium revenue as the remodeling is completed.

This diversified stream of recurring revenue lends financial stability to the Club, cushioning the impact of potential fluctuations in revenue caused by varying performance on the sports front or changes in the economic landscape.

BREAKDOWN OF OPERATING INCOME

(BEFORE DISPOSAL OF NON-CURRENT ASSETS)



PERSONNEL EXPENSES/OPERATING INCOME: EFFICIENCY RATIO



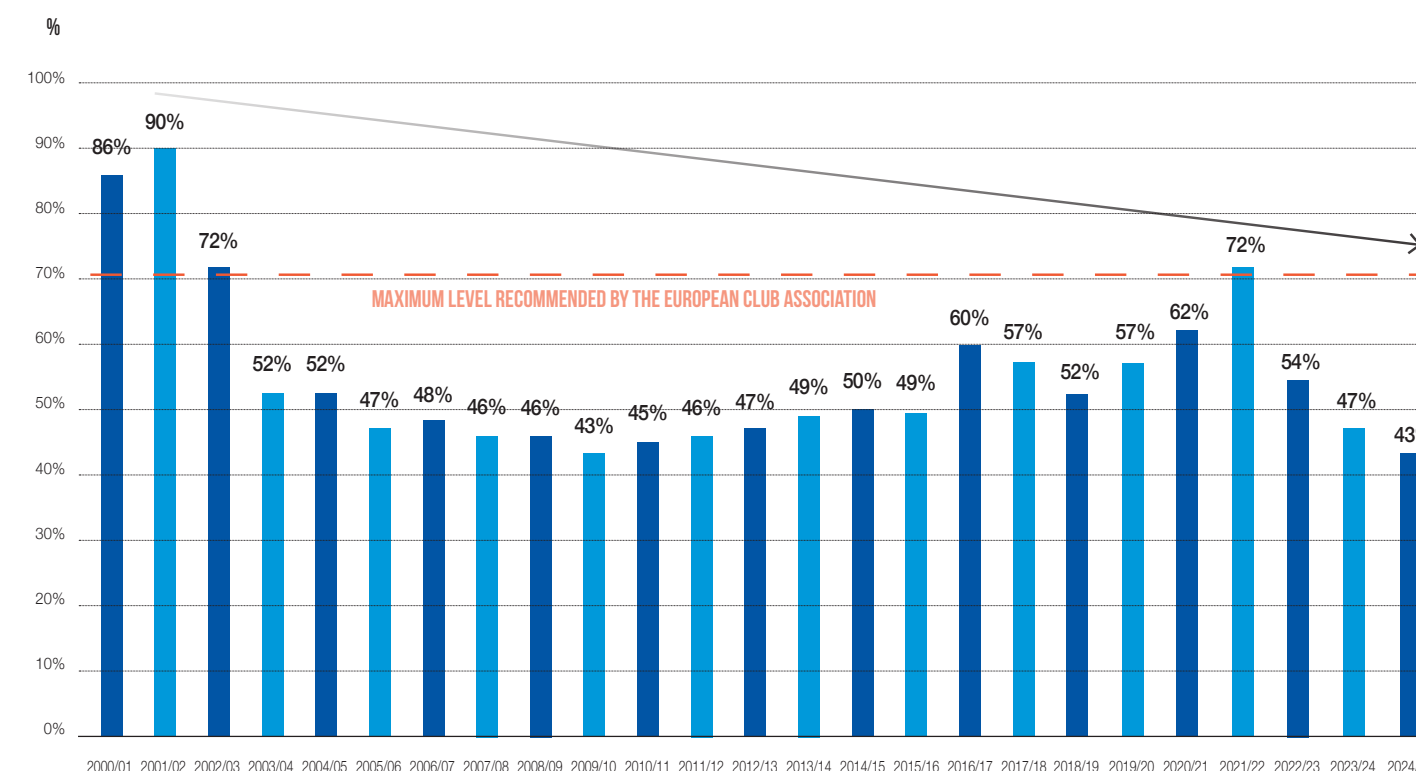
The efficiency ratio, calculated by dividing the Club's total personnel expenses by operating income (before disposal of non-current assets), is the most widely used indicator internationally to measure a football club's operational efficiency. The lower the ratio, the more efficient the Club.

In 2024/2025, the ratio was 43%; i.e., an improvement of 4 percentage points (pp) from the year before (47%) and the Club's lowest since 2000.

The efficiency ratio in 2024/2025 was comfortably below 50%, considered the threshold for excellence, and well below the 70% maximum level recommended by the European Club Association (ECA).

By increasing revenue and containing costs, the Club has been able to keep this ratio under control and below the level recommended by the European Club Association for more than 20 years now, even during those affected by COVID-19.

PERSONNEL EXPENSES/OPERATING INCOME: EFFICIENCY RATIO



SANTIAGO BERNABÉU STADIUM REMODELING PROJECT



On May 8, 2019, the Board of Directors awarded the remodeling contract to FCC Construcción, with a term of 39 months. However, the term was extended for expansion of the works to be carried out, as well as other circumstances.

The remodeling work has been carried out without affecting the matches scheduled or the stadium's normal activities.

The new stadium presents an immersive and avant-garde image thanks to a skin of steel bands and variable lines that will allow it to illuminate and project images. The project includes a fixed and retractable roof over the playing field protecting all seats.

The demolition of the shopping center and construction of two new towers on Paseo de la Castellana make the stadium safer and make access and evacuation easier. Spectator traffic will be safer and smoother, with new ramps, escalators, elevators and more entrance doors. This reform includes removal of architectural barriers to make room for nearly 1,000 new seats for people with various abilities.

Work is also being carried out to enhance the entire urban surrounding, with a large square on the Castellana of more than 20,000 square meters and another on the corner of Padre Damián of 5,500 square meters. Calle Rafael Salgado Street has been turned into a pedestrian street and the entire surroundings will be improved with a project covering over 66,000 square meters.

All the spaces and galleries inside the stadium have been transformed so spectators can enjoy a new entertainment and service

offering. The museum near the La Castellana is much bigger and been converted into a new interactive museum equipped with the latest virtual reality technologies. The experience of the Bernabéu Tour will be extended with the creation of a panoramic tour around the entire stadium and a new entertainment and food service offering, making it one of the main attractions for tourists visiting Madrid. It is a new stadium, with new, cutting-edge stores and a broader offering and type of restaurants and gastronomic experiences.

Technology is pioneering and an essential feature of this major reform, with a spectacular video scoreboard that has become one of the most emblematic features of the new Santiago Bernabéu Stadium. It is a large digital stadium that turns into a large technological platform for interacting with fans, leading a real digital transformation.

The original project was subsequently expanded to include a large underground greenhouse, which was not included originally because of its complexity, but a technological solution was subsequently found. This greenhouse allows for the automatic removal of the pitch and its preservation in optimal conditions and in perfect shape to be used when a football match is to be held. In this way, the number of events that can be held without impacting the grass will be maximized.

The new Santiago Bernabéu Stadium is one of Real Madrid's biggest projects for the future, aiming to become a benchmark for the 21st century and an avant-garde and universal icon, and marks a major upgrade for the Club, not to mention its surroundings. It will be a modern, cutting-edge stadium,

with maximum comfort and safety, using latest generation technology making it a venue where fans can feel one-of-a-kind sensations.

The remodeling will also provide a new and important source of revenue for the Club. Forecasts point to a sharp increase in revenue generation by the stadium on both match days and from the stadium's daily commercial operation. Higher net cash inflows will allow the Club to pay off the remodeling investment, while it continues to grow and remain competitive in an increasingly tough international football environment.

To fund the remodeling project, on April 12, 2019, the Real Madrid Board of Directors, under authorization by the Extraordinary General Assembly of Delegated Members held on September 23, 2018, arranged financing of €575 million for a term of 30 years and a fixed rate of 2.5%. The financing was structured through a loan with three drawdowns, one each in July 2019, July 2020 and July 2021, in line with scheduled payments for the works. The facility also includes a three-year grace period for repayment of principal. Therefore, Real Madrid will pay a fixed annual amount for these €575 million of approximately €29.5 million as from July 30, 2023, until maturity on July 30, 2049.

Subsequently, pursuant to the authorization received from the Extraordinary General Assembly of Delegated Members held on November 20, 2021, Real Madrid signed an extension of the financing of the works not originally included in the remodeling project on December 7, 2021, via the extension of

the €225 million loan facility to 27 years, carrying a fixed interest rate of 1.53%. The amount was drawn down on May 31, 2022. The facility also includes a grace period for repayment of principal, whereby Real Madrid will not begin to repay the financing until July 30, 2024. Therefore, for these €225 million, Real Madrid will pay a fixed annual amount of approximately €10.5 million as from July 30, 2024, until maturity on July 30, 2049.

In addition, pursuant to the authorization received from the Extraordinary General Assembly of Delegated Members held on November 9, 2023, on November 15, 2023, Real Madrid signed an extension of the financing of the works, for a loan amount of €370 million and repayment over a 30-year period, with a 3-year grace period on repayment of principal. Real Madrid will not begin repaying the loan until November 15, 2027. From then, for this €370 million Real Madrid will pay a fixed annual amount of €26 million until maturity on November 15, 2053.

As a result, loans taken out to finance the stadium's remodeling total €1,170 million, with final maturity in November 2053 and carrying an average fixed interest rate of 3.2%. As at June 30, 2025, the loans had been drawn down in full.

Real Madrid closed these deals without having to provide any mortgage guarantees (only pledges on certain stadium revenue) or accepting any restrictions on the Group's management or debt (only compliance with a certain coverage ratio between the pledged stadium revenue and debt service, which it met), so it can carry out its normal activity with no impact from payment of the works.

BALANCE SHEET

ASSETS

€ THOUSAND	06/30/2025	06/30/2024
Sports intangible assets	499,459	449,059
Other intangible assets	66,726	45,842
Property, plant and equipment	1,557,294	1,425,334
Investment properties	13,880	11,147
Non-current player transfers receivable	13,584	36,875
Deferred tax assets	35,748	45,678
Other financial assets	110,021	64,937
TOTAL NON-CURRENT ASSETS	2,296,712	2,078,872
Assets held for sale	0	0
Inventories	20,507	18,141
Current player transfers receivable	48,540	48,366
Trade receivables	292,153	324,705
Current tax assets	3,144	4,792
Cash and cash equivalents	175,827	208,265
Accruals	2,051	1,323
TOTAL CURRENT ASSETS	542,222	605,592
TOTAL ASSETS	2,838,934	2,684,464

Assets/liabilities at June 30, 2025, amounted to €2,839 million, an increase of €155 million from the year before.

Highlights on the assets side: The carrying amount of sports intangible assets increased by €50 million due to the net result of investment made in the year less amortization, disposals, impairment and transfers to

EQUITY AND LIABILITIES

€ THOUSAND	06/30/2025	06/30/2024
Social fund and reserves	570,122	554,510
Profit (loss) for the year	24,322	15,627
CAPITAL AND RESERVES	594,444	570,137
Socios externos	398	401
Grants received	3,411	3,555
EQUITY	598,253	574,093
Provisions for liabilities and charges	26,960	33,239
Bank borrowings	74,904	37,644
Non-current payables for player acquisitions	38,454	45,631
Non-current payables for stadium and Real Madrid Sport City works	1,117,356	1,163,921
Payables for Repurchase of rights/other	330	395
Other non-current payables	66,018	6,303
Deferred tax liabilities	15,760	28,204
Accruals	1,250	1,250
TOTAL NON-CURRENT LIABILITIES	1,341,032	1,316,587
Provisions for liabilities and charges	36,967	58,301
Bank borrowings	66,110	39,390
Current payables for player acquisitions	97,107	98,853
Current payables for stadium and Real Madrid City works	165,460	77,417
Current payables for repurchase of rights/others	65	66
Trade and other payables	206,989	186,029
Current tax liabilities	0	0
Wages and salaries payable	223,198	219,258
Accruals	103,752	114,199
TOTAL CURRENT LIABILITIES	899,648	793,783
TOTAL EQUITY AND LIABILITIES	2,838,934	2,684,464

available-for-sale assets. The value of other intangible assets increased by €21 million due to the IT investments the stadium project, the investment in parking lots recognized under this item as they arose from a concession arrangement, and the development of an IT platform to provide service to both members and fans. The value of property, plant and equipment increased by €132 million due to

the net result of investment made in the year (primarily in the stadium remodeling project) less depreciation. The balance of investment properties increased by €3 million for the revaluation of land. The value of other financial assets increased by €45 million due to the net impact of the increase sports personnel contract bonuses and financial investments and the decreases in the balance of non-current trade receivables. Current and non-current receivables for player transfers decreased by €23 million following receipt of an amount of the outstanding balance of transfers from prior years that was higher than the outstanding amounts added for transfers during the current year, since revenue from transfers was similar. Despite the pickup in activity, the balance of trade receivables decreased by €32 million, primarily from the collection during the current year of revenue from the sale of VIP licenses made at the end of the previous year, as well as of other receivables from business partners and public authorities. Inventories increased by €2 million on the back of increased merchandising activity. The balance of current tax assets decreased by €2 million as the income tax refund for 2024/2025 in favor of the Club (as prepayments exceed the amount payable according to the settlement at the end of the financial year), which will be received as of January 2026 when the return is filed, is lower than the refund received in 2023/2024. The balance of cash and cash equivalents totaled €176 million, of which: €10 million related to cash from the stadium remodeling project loan facility, €116 less than the year before due to repayments made during the year on amounts drawn down the year before, and €166 million related to the Club's cash excluding the remodeling project; i.e. €84 million more than the year before for the reasons already explained in other notes in this report.

Highlights on the liabilities side: Bank borrowings increased by €64 million after further repayments of ICO-backed bank

loans with final maturity in 2026. Outstanding payables on investments (long- and short-term) were €33 million higher. Of the total, an increase of €44 million was due to the stadium remodeling project (the balance of the loan decreased by €23 million following repayments in the year, while outstanding invoices payable increased by €68 million). Conversely, payables for player acquisitions and other investments decreased by €12 million as payments made outstripped the amounts outstanding on payments for new acquisitions during the year. The balance of non-current and current provisions for liabilities decreased by €28 million as the amount of provisions recognized in the year was lower than the amount of provisions derecognized the year before as either the related contingency arose or the provisions was no longer considered to be necessary. There was an increase of €60 million in other non-current payables related to long-term payment obligations with sports personnel. Trade payables rose by €21 million, mostly due to payments owed on business arrangements. Current tax liabilities (income tax payable) amounted to €0 since there was no balance for this item at either June 30, 2025 or June 30, 2024, but rather an amount receivable by the Club was recognized under assets. The balance of remuneration payable increased by €4 million due to the net impact of the reduction in bonuses for sports achievements from the previous year and the increase in the contractual amount payable for the second part of the player registration (payable in July) and other remuneration payable to players. The balance of non-current plus current accruals (amounts received which accrue in subsequent periods) decreased by €10 million following conclusion in the year of a business arrangement that gave rise to payable balances in this item in previous years. Equity at the end of the reporting period amounted to €598 million, up €24 million from the year before, due to the profit after tax obtained in FY 2024/2025.

ECONOMIC INFORMATION OF REAL MADRID C. F.

For the year ended June 30, 2025



BALANCE SHEET
AS AT JUNE 30, 2025

ASSETS

€ THOUSAND	NOTES	6/30/25	6/30/24
NON-CURRENT ASSETS			
		2,278,908	2,071,119
Sports intangible assets	4	499,459	449,059
Other non-sports intangible assets	5	43,856	29,983
Property, plant and equipment	6	1,557,294	1,425,334
Investment properties	7	13,880	11,147
Investment in Group comanies	8.1	5,141	8,141
Non-current financial investments	8.1	27,718	62,211
Non-current accruals	15.1	95,812	39,566
Deferred tax assets	16	35,748	45,678
CURRENT ASSETS			
		539,733	590,172
Non-current assets held for sale	4.2	-	-
Inventories	9	20,507	18,141
Trade and other receivables	8.2	343,912	375,778
Current financial investments in group companies	8.1	67	87
Current accruals	15.1	2,051	1,323
Cash and cash equivalents	10	173,196	194,843
TOTAL ASSETS		2,818,641	2,661,291

EQUITY AND LIABILITIES

€ THOUSAND	NOTES	6/30/25	6/30/24
EQUITY			
		584,847	560,580
Capital and reserves			
		11	581,436
		557,025	
Reserves		512,139	498,401
Revaluation reserve RD 7/96		8,548	8,548
Revaluation reserve law 16/2012		20,277	20,277
Capitalization reserve		16,061	14,534
Profit for the year		24,411	15,265
Grants, donations and bequests received	12	3,411	3,555
	11		
NON-CURRENT LIABILITIES		1,336,209	1,311,935
Non-current provisions			
		13.1	26,960
		33,239	
Non-current loans and borrowings			
		14.1	1,226,221
		1,243,345	
Bank borrowings		74,904	37,644
Other financial liabilities		1,151,317	1,205,701
Non-current payables	14.2	66,018	6,303
Deferred tax liabilities	16	15,760	27,798
Non-current accruals	15.2	1,250	1,250
CURRENT LIABILITIES			
		897,585	788,776
Current provisions			
		13.2	36,967
		58,301	
Current loans and borrowings			
		14.3	328,652
		211,871	
Bank borrowings		66,110	39,390
Other financial liabilities		262,542	172,481
Trade and other payables	14.4	428,213	404,405
Current accruals	15.2	103,753	114,199
TOTAL EQUITY AND LIABILITIES		2,818,641	2,661,291

INCOME STATEMENT FOR
THE YEAR ENDED JUNE 30, 2025

€ THOUSAND	NOTES	2024/2025	2023/2024
CONTINUING OPERATIONS			
Revenue			
Membership fees, ticket sales and stadium revenue		326,276	307,094
International and friendly matches		189,566	150,784
Broadcasting revenue		162,086	179,257
Marketing revenue		481,164	406,597
	17.1	1,159,092	1,043,732
Self-constructed assets			
	17.1	-	8,965
Cost of sales			
Raw materials and other consumables used	17.2	(87,697)	(65,718)
Other operating income		17.1	2,107
		12,050	
Sports and non-sports personnel expenses		17.3	(505,744)
		(498,047)	
Other operating expenses			
Losses on, impairment of and changes in trade provisions	17.4	(2,947)	3,157
Other operating expenses	17.4	(380,297)	(368,942)
		(383,244)	(365,785)
Depreciation and amortization		4, 5, 6, 7	(167,698)
		(134,369)	
Non-financial and other capital grants		12, 17.1	192
		193	
Provision surpluses		13.1, 13.2	23,201
		7,890	
Impairment, gains/(losses) on disposal of non-current assets and other exceptional gains/(losses)			
Impairment and losses	17.5	2,190	(15,084)
Gains/(losses) on disposal and other	17.5	32,457	27,792
		34,647	12,708
OPERATING PROFIT		74,856	21,619
Finance income			
Marketable securities and other financial instruments	17.6	5,570	10,247
Capitalization of borrowing costs	17.6	-	29,727
		5,570	39,974
Finance costs		17.6	(48,975)
		(41,737)	
NET FINANCE INCOME/(EXPENSE)		(43,405)	(1,763)
PROFIT BEFORE TAX		31,451	19,856
Income tax (expense)/income		16.1	(7,040)
		(4,591)	
PROFIT FOR THE YEAR FROM CONTINUING OPERATIONS		24,411	15,265
PROFIT FOR THE YEAR		24,411	15,265